

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-22

GITI TIRE (USA) LTD.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

**COMPLAINANT’S OPPOSITION TO RESPONDENT’S
MOTION TO DISMISS THE COMPLAINT**

Complainant, Giti Tire (USA) Ltd. (“Giti” or “Complainant”), respectfully submits this memorandum in opposition to the Motion to Dismiss of Respondent Flexport International LLC (“Flexport” or “Respondent”).

INTRODUCTION

On May 16, 2024, Giti filed its Verified Complaint against Flexport alleging multiple violations of the Shipping Act of 1984, 46 U.S.C. § 40101, et. seq. (the “Shipping Act”) by Flexport. In response, Flexport claims that Giti’s complaint does not contain sufficient facts and should be dismissed.

A complaint contains sufficient facts when it allows the Commission to draw reasonable inferences that the respondent is liable for the misconduct alleged and it gives the respondent fair notice of what the claim is and enough information to respond. Here, the Complaint identifies the basis for Flexport’s Shipping Act violations, sets out specific amounts of Flexport’s improper

charges within a specific timeframe, and even identifies specific documents – such as Flexport’s own “OSRA Addendum” – that highlight Flexport’s knowledge of the charges in dispute. The Complaint alleges the following Shipping Act violations:

- Flexport’s actions constitute a failure by the Flexport to meet the minimum informational requirements for detention and demurrage invoices sent to Giti in violation of 46 U.S.C. § 41104(a)(15), 46 U.S.C. § 41104(a)(14) and 46 U.S.C. § 41104(d) (Complaint ¶¶15-19);
- Flexport’s actions are unjust and unreasonable in violation of the requirements of 46 U.S.C. §41102(c) by invoicing detention charges for weekend and holiday days during which the port or terminal was not available for return of containers (Complaint ¶¶20-21); and
- Flexport’s actions also are unjust and unreasonable in violation of the requirements of 46 U.S.C. §41102(c), 46 U.S.C. § 41104(a)(15), 46 C.F.R. § 545.4, and 46 CFR § 545.5 by invoicing for unreasonable and excessive charges (Complaint ¶23) and double billing charges to both Giti and motor carriers (Complaint ¶22).

The Complaint sets out those serious violations of the Shipping Act in detail, including delineating the specific amount of Flexport’s invoiced charges that fall within each category of Shipping Act violations. (Complaint ¶¶30-35). The allegations of the Complaint provide enough detail to allow the Commission to reasonably infer Flexport is liable for its misconduct. Furthermore, there is no doubt that the Complaint provides enough information for Flexport to respond, as evidenced by Flexport spending most of its “motion to dismiss” defending against the claims on the merits.

Flexport cannot in one paragraph assert that Giti is improperly disputing Flexport’s \$12 million worth of charges, while in the next paragraph claim it does not know what charges are in dispute. Indeed, Flexport’s assertions that it has no idea which invoices are in dispute is entirely

disingenuous. As Flexport concedes, the parties participated in extensive negotiations prior to resorting to this litigation, during which detailed information of specific disputed invoices and charges were exchanged. Flexport is well aware of the precise charges that are in dispute in this case.

Similarly, Flexport's statement that Giti admits to owing over \$7 million but is withholding payment is demonstrably false and directly contrary to Giti's representations to Flexport. As stated in Giti's Complaint and in extensive pre-litigation discussions between the parties, Giti's audit of Flexport's charges revealed that \$7,204,243 of Flexport's accessorial charges constitute extraordinary and unreasonable charges in violation of the Shipping Act. Giti's dispute of the charges is in black and white. Moreover, Giti has already paid Flexport in excess of \$20 million of its invoiced charges, which fully refutes the assertion that Giti is withholding payment of uncontested amounts. To the contrary, Giti has paid the amounts that Flexport appropriately assessed and invoiced. Flexport's allegations to the contrary are objectively wrong.

This case is in the initial pleading stage. Giti's complaint alleges plausible claims, provides fair notice to Flexport of the basis for the claims, and includes enough information for Flexport to respond. In fact, the bulk of Flexport's arguments go to the merits of the proceeding. These arguments can be further explored during discovery; they are not appropriately addressed at this preliminary stage of the case. Accordingly, the Complaint is more than sufficient to satisfy the pleading requirements to state a cause of action against Flexport for Shipping Act violations.

In the alternative, and only if the Commission finds that the Complaint requires more detail, Giti requests leave to amend the complaint to include a more definite statement of its claims in accordance with 46 C.F.R. § 502.66.

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure do not explicitly provide for motions to dismiss, the Commission follows the Federal Rules of Civil Procedure and federal case law interpreting those rules in evaluating whether a complaint states a cognizable claim under the Shipping Act. *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01 (FMC, Aug. 1, 2011)); see also *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). As the Commission has explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009). The complaint must be sufficient to "give the defendant fair notice of what the ... claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui, Dkt. No. 09-01.

When a Complaint contains well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief. *Ashcroft v. Iqbal*, 556 U.S. 662, 678-79 (2009). Meeting the plausibility standard "simply calls for enough fact[s] to raise a reasonable expectation that discovery will reveal evidence" of the alleged violation. *Twombly*, 550 U.S. at 556.

At the motion to dismiss stage, the "choice between two plausible inferences that may be drawn from factual allegations is not a choice to be made by the court on a Rule 12(b)(6) motion."

Anderson News, LLC v. Am. Media, Inc., 680 F.3d 162, 185 (2d Cir. 2012). The Commission must construe the factual allegations in the complaint in the light most favorable to the complainant and must grant the complainant the benefit of all inferences that can be derived from the facts as alleged in the complaint. *Cornell*, FMC Dkt. No. 13-02.

Accordingly, all well-pleaded factual allegations in the Complaint are to be assumed to be true and are to be construed in the light most favorable to Giti.

ARGUMENT

1. Rule 8's simplified federal notice pleading standard is applicable.

Flexport's motion is thick with perceived equitable arguments and positions on the merits of the dispute, all of which are immaterial to its motion. The only question is whether Giti has pled sufficient facts to provide Flexport fair notice of the basis for the claims. This standard is unquestionably met.

Under Rule 8(a)(2) of the Federal Rules of Civil Procedure, a complaint "must simply give the defendant fair notice of what the plaintiff's claim is and the grounds upon which it rests. This liberal and simplified 'notice pleading' standard--which was adopted to focus litigation on the merits of a claim and which applies to all civil actions, with limited exceptions--relies on liberal discovery rules and summary judgment motions to define disputed facts and issues and to dispose of unmeritorious claims." *Swierkiewicz v. Sorema N.A.*, 534 U.S. 506, 508 (2002). The Supreme Court further noted that, "if a pleading fails to specify the allegations in a manner that provides sufficient notice, then a defendant can move for a more definite statement, under Rule 12(e) of the Federal Rules of Civil Procedure [or, in this forum, 46 C.F.R. § 502.67], before responding." *Id.*

2. Shipping Act violations are sufficiently alleged in the Complaint.

The Complaint alleges that Flexport invoiced Giti for demurrage and detention charges without including the information required by that statute, in violation of 46 U.S.C. § 41104(a)(15). That section provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not-- ... invoice any party for demurrage and detention charges unless the invoice includes information as described in subsection (d) [referring to 46 U.S.C. § 41104(d)] showing that such charges comply with (A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and (B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled ‘Interpretive Rule on Demurrage and Detention Under the Shipping Act’ (or successor rule).” Section 46 U.S.C. § 41104(d)(2) lists the requirements for detention and demurrage invoices and section 41104(f) states that failure to include the information required under subsection (d) on an invoice for any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.

The Complaint has set out specific allegations that Respondent has, contrary to the Shipping Act, invoiced Complainant for hundreds of detention and demurrage charges without including the information required to comply with 46 U.S.C. § 41104(a)(15) and (d). See Complaint ¶¶15-19. The Complaint further explains that Flexport sought to correct its deficient invoicing by issuing a document it called an “OSRA Addendum” purporting to provide missing data. Complaint ¶ 25. Giti, in its Complaint, disputed the validity of this OSRA Addendum, as Giti still does not have a complete invoice with all of the required information and Giti disputes the validity of the supplemental information listed on the OSRA Addendum without any supporting documentation. See Complaint ¶¶25-27.

Based just on these facts contained in the Complaint, it is readily evident that Flexport is aware of the charges in dispute and the deficiencies in its invoices – it has made (ineffective) efforts to correct them! Moreover, in the extended discussions between the parties prior to litigation, Giti informed Flexport of additional invoices not covered by the OSRA Addendum and Giti’s position that the OSRA Addendum did not cure the deficiencies. It is clear that Giti has stated a plausible claim, that Flexport is aware of the basis for the claim, and that the allegations are sufficient for the claim to proceed into discovery and the case to move forward.

The same arguments are applicable to Giti’s claim that Flexport violated the Shipping Act by invoicing detention charges for dates when the ports were closed and not available for containers to be returned. See Complaint ¶¶ 8, 21, 31. This again is an actionable claim and was the subject of thorough pre-litigation discussion between the parties. Flexport is aware of the basis for Giti’s claim and the amount of invoices involved (\$5,341,5809, as detailed in the Complaint at ¶ 31). The allegations meet the federal notice pleading requirements and the claim may proceed.

And the Complaint similarly alleges that Flexport violated the Shipping Act by issuing invoices with excessive and unreasonable charges and charges that were already invoiced to other parties, such as a motor carrier, in violation of the Shipping Act. Complaint at ¶¶ 9, 22, 23, 33, 34. These allegations again provide notice to Flexport of the basis for Giti’s claims in accordance with the liberal notice pleading standard and raise a plausible violation of the Shipping Act, which is sufficient at this stage of the proceeding. *Way Interglobal Network, LLC V. Shenzhen Unifelix SCM Limited*, FMC Docket No. 22-28 (January 4, 2023).

Accordingly, the motion to dismiss should be denied so Flexport can file an Answer and the details of the claims can be further addressed during discovery.

3. The Complaint alleges “practices” on the part of Flexport

Flexport spends considerable ink arguing, in effect, that Giti’s claims of unreasonable detention and demurrage practices by Flexport should be dismissed because they do not involve any other customers of Flexport. This position is wholly without merit.

As an initial matter, the Complaint alleges that Flexport issued hundreds of invoices containing unreasonable charges. Complaint at ¶¶ 15, 21, 22. These are not single, one-off shipments in which Flexport violated the Shipping Act. Flexport committed violations regarding hundreds of charges on a repeated basis as part of its standard invoicing procedures – that constitutes a “practice.” Based on the invoices received by Giti, this was Flexport’s normal procedure and the violations occurred on a “normal, customary, and continuous basis.” 46 C.F.R. § 545.4.

Flexport’s assertion that Giti was required to allege in its Complaint that Flexport’s violations apply to “multiple customers” is not a pleading requirement under the regulations or the Commission’s precedents. The case of *Whitam v. Chicago, R. I. & P. Ry. Co.*, 66 F. Supp. 1014 (N.D. Tex. 1946) does not support Flexport’s position. *Whitam* concerned a shipper’s complaint that it was overcharged by a railroad that improperly weighed rail cars. *Id.* at 1015. The court noted that the plaintiff’s grievance was that it had been cheated, not that any defendant’s rule or practice was improper. *Id.* at 1017. Importantly, the court found considerable support in the fact that the plaintiff in that case did not allege any “practice” of the railroad was at issue - not even a practice between only the plaintiff and the railroad. *Id.* This statement, of course, implies that a practice could be established between just the plaintiff and the railroad if it had been so alleged. Instead, the plaintiff pled around alleging a “practice” and alleged specific instances in which the railroad

cheated the plaintiff by overstating the weights. *Id.* Based on these specific allegations, the court found that a “practice” of the railroad was not at issue.

A proper application of *Whitman* is simply that specific acts or violations may not constitute a practice. Moreover, *Whitman* supports interpreting the nature of a claim based on the way it is pled by the plaintiff. Based on the court’s reasoning, had the plaintiff there alleged that the railroad’s conduct was a “practice”, the court would have applied the law based on those allegations – at least in the context of a motion to dismiss at the pleading stage. That is precisely the result that should be reached in this case.

Here, Giti has explicitly alleged an ongoing practice of Flexport repeatedly and continuously issuing invoices in violation of the Shipping Act over multiple years. These allegations of Giti must be accepted as true. There is no requirement that the Complaint allege that Flexport’s violations include other shippers or parties – it is enough that the violations were repeated and continuous with respect to Giti. That said, to the extent it is informative to the Commission, it is worth noting that there are currently other complaints of Shipping Act violations by Flexport with respect to other shippers. See e.g. *Peloton Interactive, Inc. v. Flexport International LLC*, FMC Docket No. 24-19 (2024).

Ultimately, the complaint plausibly alleges a practice, which is all that is required for a section 41102(c) violation, because the complaint alleges hundreds of charges are at issue and that this was part of Respondent’s regular practices. At this stage of the proceeding, this is sufficient to allege a practice.

4. In the alternative, Giti should be afforded leave to amend the Complaint

The Commission’s Rules provide for amendment of pleadings to state a case more fully and in more detail if the Commission deems such additional information necessary. 46 C.F.R. §

502.66. As detailed above, Giti submits that its Verified Complaint already contains sufficient allegations under the federal liberal notice pleading standard to proceed with the case, with further details to be obtained during the discovery process. However, in the alternative should the Commission determine that the Complaint requires more detail, Giti requests leave to amend its Complaint to include a more definite statement of its claims in accordance with 46 C.F.R. § 502.66.

CONCLUSION

For the foregoing reasons, Giti respectfully requests that the motion to dismiss be denied, and Flexport be ordered to file its answer in accordance with the Rules of the Commission.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that the foregoing was served via email on all counsel of record on July 1, 2024.

/s/ Michael Harowski

Michael A. Harowski